HSBC Private Banking

Global Investment Committee

UK ELECTIONS SPECIAL
(not for distribution in the US)

13 December 2019

DM GOVERNMENT BONDS

Positive on US inflation linked bonds, Australian and New Zealand government bonds

Negative on German and Japanese government bonds

CREDIT AND EM

Positive on Hard Currency bonds in China, Indonesia, GCC and Brazil; Local Currency bonds in China, Indonesia, Brazil, Mexico, and Russia; US IG, Australian and New Zealand credit.

Negative on Eurozone IG and HY; Argentinian, Ukrainian and Turkish debt

EQUITIES

Positive on US, Brazil, UK, Switzerland and Indonesia

Negative on Italy, Spain, South Africa, Russia, Malaysia, Thailand and Turkey

UK election outcome: what does it mean for markets?

The UK conservatives have won the election, with a very comfortable majority in parliament. Polls had pointed to a Conservative majority but many seats were closely fought, and the majority is larger than most polls had forecast. Ultimately, voters in regions that had favoured leaving the EU in 2016 turned to the Conservatives party, which had vowed to leave the EU on January 31.

Prime Minister Boris Johnson will now hope to pass the withdrawal deal without unwanted amendments. This will put the UK on course to leave the EU with a deal and begin the transition period until the end of 2020. UK risk assets will be supported by the reduction in uncertainty, and the large majority in parliament. Still, some uncertainty lingers, as a trade deal with the EU now needs to be negotiated.

The risk of a 'no deal' Brexit had weighted on GBP, and this risk has now been largely removed. We are bullish on GBP, and expect it to head towards $1.45 by Q3 2020. A strong GBP should help the consumer and those companies that are more domestically focused. Reduced uncertainty should lower the risk premium for UK equities, and taking into account the UK's attractive dividend yields, we move UK equities to overweight. They may get an additional boost this morning from the US signing a phase one trade deal with China.

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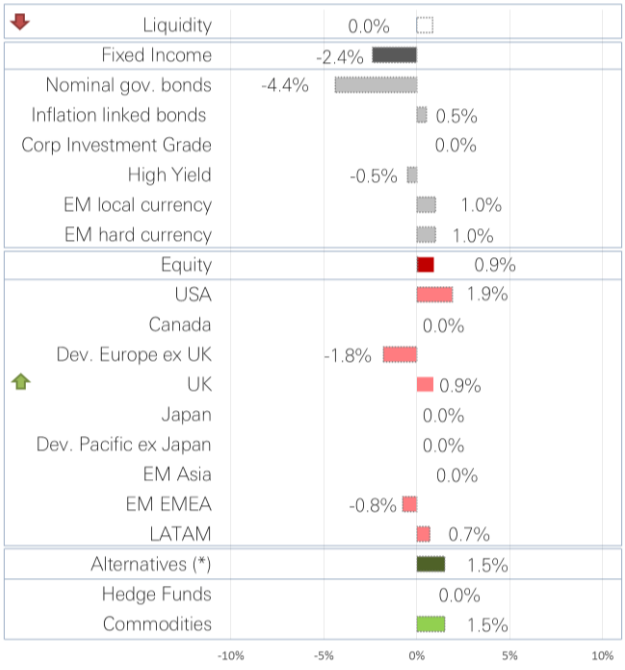
Interpreting the UK election result

After two years of parliamentary stalemate the Conservatives will return to power confident that they will have the majority needed to drive forward their vision of Brexit. Pivotal to the Conservative win were the gains in the historically Labour stronghold and largely Brexit supporting North of England. Many seats were expected to be closely fought and, as a result, forecasted results were read with caution. This caution translated to the markets too, where GBP drifted higher but stopped short of excluding the change of a hung parliament.

Following the exit poll GBP rallied from under $1.32 to $1.35 as the forecast Conservative majority of 86 pushed the likelihood of a hung parliament to the margins. The market has now reasoned that Prime Minister Boris Johnson should have ample room in parliament to pursue not only his Brexit deal but also the government's economic agenda. Furthermore, trade negotiations with the EU can be pursued from a position of greater strength, with less risk of a faction of Conservative MPs swaying the parliamentary majority. The reduced uncertainty is boosting appetite for UK risk assets.

Tactical asset allocation (TAA)

USD advisory model portfolio, moderate risk



Dotted lines signify last month's positions. (*) We consider Real Estate and Private Equity as long term investments, and hence, the TAA equals the SAA for those asset classes.

Economic outlook

The UK economy has been plagued by uncertainty as businesses devoted resources to preparing for a 'no deal' Brexit rather than investing. According to the Deloitte survey of FTSE CFOs Brexit is biggest risk faced. Business investment has fallen -0.6% in the year until Q3. Business sentiment has fallen dramatically too, although the slowdown in growth globally is also likely to have had an impact here.

Uncertainty will still linger ahead of trade talks with the EU but the increased clarity following the elections does buy companies some time to invest. A stronger GBP would also help the UK consumer, which is a net importer of foreign goods. This sets the stage for a period of robust real income growth for the consumer which should help support spending.

Investment outlook

Our framework for forecasting GBP has centred on the different scenarios for Brexit. As such, the risk of a 'no deal' Brexit has weighed on GBP throughout the year. And more generally, foreign investors have been reluctant to invest in the UK because of this 'no deal' risk.

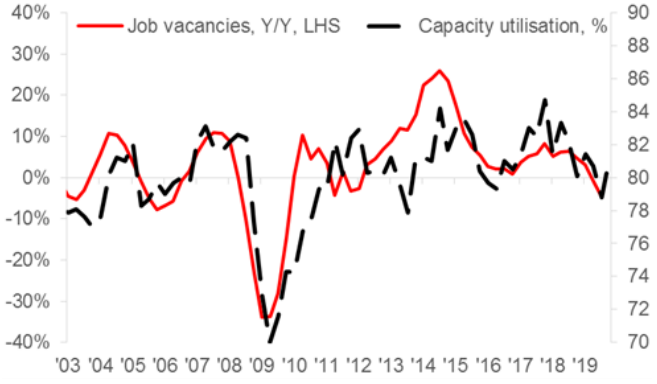
Now that this scenario has receded, we expect investors will focus on the economic data once again, which point to increased investment and a better positioned consumer. We expect this will lead to GBP buying and a drift towards $1.45 towards Q3 next year. This level would be more in keeping with the long-term fair value of GBP, which we place at around $1.55. We stop short of forecasting a full return to fair value as we expect that any trade deal with the EU will still fall short of the current almost unfettered access.

GBP is cheap compared to its trading partners

Source: Bloomberg, HSBC Private Banking, December 12 2019. Past performance is not a reliable indicator of future performance.

With the Conservatives likely to increase fiscal spending and consumer spending likely to see a boost, attention will turn to the Bank of England. But the additional spending pledged in the Conservative manifesto is small relative to what was announced in the September spending review, which the Bank of England has already factored into its forecasts. So, we think the BoE will cut rates by 25 basis points on 7 May. Brexit uncertainty and the global slowdown have removed some of the tightness in the labour market, and freed up capacity in firms. Therefore the BoE should be happy to see this slack being absorbed, and our expectation of a strong GBP should also help keep inflation low.

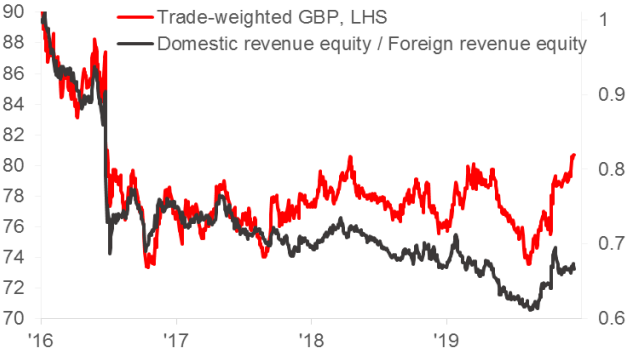
There is slack in the UK economy



Source: European Commission, ONS, HSBC Private Banking, December 12 2019.

In this environment, UK equities should perform well, especially those with domestic revenue exposure as these tend to be importers and are leveraged to the health of the local economy. We would also expect the 'risk premium' for UK equities to fall, as they had dramatically risen lately for the Utilities sector and other companies that were under scope for nationalisation by the Labour party. We consider UK stocks as cheap relative to other developed markets.

Equities with a domestic focus have lagged the UK market



Source: Bloomberg, HSBC Private Banking, December 12 2019. Past performance is not a reliable indicator of future performance.

Overseas investors will look at the discounted valuations and, especially in this low yield environment, the high dividend yields. The near 5% dividend yield of FTSE 100 companies is the highest of the major European markets, while the Price-to-book ratio of domestic UK equities has significantly lagged global equities. GBP-based investors, who do not benefit from the currency gain in their own market, may see less upside. Indeed, especially globally oriented companies in the FTSE100 often find it hard to rally sharply when GBP appreciates. That said, this morning, it seems that the FTSE will open higher, in spite of the stronger GBP, as it gets a boost from better risk appetite.

Given the attractive valuations, the improved clarity, and the improvement in sentiment we expect, we have moved UK stocks from a neutral to an overweight position in our tactical asset allocation.

Asset Class Views

Equities

Regions	View
US	=/+
Canada	=
Europe ex UK	=/-
Switzerland	=/+
UK	**=/+**
Japan	=
Dev. Pacific ex Japan	=
Emerging Markets	=
Hong Kong	=
Singapore	=

Foreign Exchange

	View
USD	+
CAD	-
EUR	=
GBP	**+**
CHF	=
JPY	+
AUD	=
NZD	-
SGD	-
Emerging Markets	=
EUR/GBP	**-**
EUR/CHF	=

Commodities

	View
Gold	+
Silver	+
Oil	=

Fixed Income

Overall	View
Sovereign	=/-
Corp. Inv. Grade	=
High Yield	=/-
Emerging Markets	=/+

Detail		View	Maturity
USD	Sovereign	=	Short to Medium
	Sov. I-L	=/+	Medium
	Corp. IG	=/+	Short to Medium
	High Yield	=	Short to Medium
EUR	Sovereign	=/-	Medium
	Periphery	=	Medium
	Sov. I-L	=	Medium
	Corp. IG	=/-	Medium
	High Yield*	=/-	Short to Medium
GBP	Sovereign	=	Medium
	Sov. I-L	=	Medium
	Corp. IG	=	Medium
	High Yield*	=	Short to Medium

Detail		View	Maturity
JPY	Sovereign	=/-	Short to Medium
	Corp. IG	=	Short to Medium
AUD	Sovereign	=/+	Short to Medium
	Corp. IG	=/+	Short to Medium
NZD	Sovereign	=/+	Medium
	Corp. IG	=/+	Short to Medium
CAD	Sovereign	=	Short to Medium
	Corp. IG	=	Short to Medium
EM	Sov. (local)	=/+	Medium
	Sov. (USD)	=/+	Short to Medium
	Corp. (local)	=/+	Medium
	Corp. (USD)	=/+	Short to Medium

Emerging Markets

Equities	View
China	=
India	=
Indonesia	=/+
Philippines	=
Malaysia	=/-
South Korea	=
Taiwan	=
Thailand	=/-
Brazil	=/+
Mexico	=
Turkey	=/-
South Africa	=/-
UAE	=
Russia	=/-

Foreign Exchange	View
China	=
India	-
Indonesia	+
South Korea	=
Thailand	=
Philippines	=
Brazil	+
Mexico	=
Russia	+
Turkey	-
South Africa	-

EM Fixed Income	Local currency	Foreign currency	
		Sov	Corp
China	=/+		=/+
India	=		=
Indonesia	=/+	=/+	=/+
South Korea		=	=
Argentina		-	-
Brazil	=/+	=/+	=/+
Colombia		=	=
Mexico	=/+	=	=
Russia	=/+	=	=
GCC		=/+	=/+
Turkey	-	=/-	=/-
South Africa	=	=	=

Guide to symbols:

+ : Overweight **=/+ :** small overweight **= :** neutral **=/- :** small underweight **- :** underweight

For currencies, the signs refer to bullish / neutral / bearish views

Glossary of terms

Absolute return – The nominal return on an investment irrespective of any given specific benchmark.

Alternative investments – Non-traditional investments with low correlations to traditional assets which are typically used to improve portfolio diversification.

Annualised return – The yearly increase (or decrease) in the value of an investment, including the effects of compounding.

Annualised volatility – The estimated spread of returns of an asset on an annual basis. Volatility is usually used as a measure of risk, as a highly volatile asset may offer large negative as well as large positive returns.

Asset allocation – The apportioning of investment assets between different asset classes such as equities, fixed income, liquid assets (cash), real estate, etc

Asset class – Assets are aggregated into groups that share similar characteristics. Asset classes include 'Equity,' 'Fixed income,' 'Liquid assets,' 'Real Estate' and 'Commodities'.

Benchmark – A single or a weighted collection of indices used as a reference or comparison of investment performance.

Credit risk – The risk of loss to your investment arising from a counterparty (eg a bond issuer or a bank) which does not, or cannot, make the required payments as promised or agreed on in a contract.

Cumulative return – Actual (non-annualised) performance over a given period of time.

Derivatives – Instruments such as futures, options and swaps that derive their value from the movement in the price of an underlying asset.

Diversification – The process of spreading a portfolio's holdings over a range of securities and asset classes with the aim of reducing volatility.

Duration – The weighted average maturity of a bond's cash flows or of any series of linked cash flows.

Expected return – The weighted average of a probability distribution of possible rates of return.

Fund of funds – A fund whose purpose is to invest in other funds. Applicable to all asset classes.

Hedge – A transaction made with the intent of reducing investment risk, for example using options or forwards.

Hedge fund – An unregulated fund which is allowed to use strategies that are unavailable to the majority of unit and investment trusts. Hedge funds can be exempt from many of the rules and regulations governing traditional funds. Usually considered as an 'Alternative' asset class.

High yield – Corporate bonds that are rated below investment grade (defined as BB and below).

Hold – Maintain a current level of investment in a particular asset class, market, sector, security, or investment vehicle.

Illiquid asset – An investment that cannot be realised at short notice.

Inflation – Rising prices of individual or a basket of goods and services.

Long duration – A fixed income security that has a modified duration that is longer than 7 years.

Long term – An investment time horizon of five years or greater.

Market capitalisation – Refers to the total value of a company or stock exchange. Usually calculated by multiplying the number of shares outstanding for a company or a stock exchange by the value of a single share.

Market risk – The risk that the value of your investment can fall as well as rise by taking exposure to a particular market. Market risk cannot be diversified away from by increasing holdings of similar securities.

Medium duration – A fixed income security that has a modified duration between 3 and 7 years.

Medium term – An investment time horizon of between three and five years.

Neutral – A portfolio position that is the same as the benchmark would suggest, or: a seven to ten year time horizon.

Overweight – A portfolio position that is higher than the benchmark would suggest.

Private equity – Securities of unlisted companies which are generally illiquid and are therefore held for longer periods of time than more traditional securities.

Relative return – The return that an asset achieves over a period of time compared to a benchmark.

Short duration – A fixed income security that has a modified duration between one and three years.

Short term – An investment time horizon of between one and three years, or a tactical view of less than six months.

Strategic asset allocation – The proportional mix of asset classes which should meet an investor's risk and return objectives over a seven to ten year time horizon.

Tactical asset allocation – An active management strategy that deviates from the long-term strategic asset allocation in order to take advantage of current market views.

Total return – A measure of the return over a stated period that incorporates both the return from price appreciation and investment income, such as coupons and dividends.

Traditional investments – Equities, bonds, and cash.

Underweight – A portfolio position that is lower than the benchmark would suggest.

Risk Disclosures

Risks of investment in fixed income

There are several key issues that one should consider before making an investment into fixed income. The risk specific to this type of investment may include, but are not limited to:

Credit risk

Investor is subject to the credit risk of the issuer. Investor is also subject to the credit risk of the government and/or the appointed trustee for debts that are guaranteed by the government.

Risks associated with high yield fixed income instruments

High yield fixed income instruments are typically rated below investment grade or are unrated and as such are often subject to a higher risk of issuer default. The net asset value of a high-yield bond fund may decline or be negatively affected if there is a default of any of the high yield bonds that it invests in or if interest rates change. The special features and risks of high-yield bond funds may also include the following:

- Capital growth risk - some high-yield bond funds may have fees and/ or dividends paid out of capital. As a result, the capital that the fund has available for investment in the future and capital growth may be reduced; and
- Dividend distributions - some high-yield bond funds may not distribute dividends, but instead reinvest the dividends into the fund or alternatively, the investment manager may have discretion on whether or not to make any distribution out of income and/ or capital of the fund. Also, a high distribution yield does not imply a positive or high return on the total investment
- Vulnerability to economic cycles - during economic downturns such instruments may typically fall more in value than investment grade bonds as (i) investors become more risk averse and (ii) default risk rises

Risks associated with subordinated debentures, perpetual debentures, and contingent convertible or bail-in debentures

- Subordinated debentures - subordinated debentures will bear higher risks than holders of senior debentures of the issuer due to a lower priority of claim in the event of the issuer's liquidation
- Perpetual debentures - perpetual debentures often are callable, do not have maturity dates and are subordinated. Investors may incur reinvestment and subordination risks. Investors may lose all their invested principal in certain circumstances. Interest payments may be variable, deferred or cancelled. Investors may face uncertainties over when and how much they can receive such payments
- Contingent convertible or bail-in debentures - Contingent convertible and bail-in debentures are hybrid debt-equity instruments that may be written off or converted to common stock on the occurrence of a trigger event. Contingent convertible debentures refer to debentures that contain a clause requiring them to be written off or converted to common stock on the occurrence of a trigger event. These debentures generally absorb losses while the issuer remains a going concern (ie in advance of the point of non-viability). "Bail-in" generally refers to (a) contractual mechanisms (ie contractual bail-in) under which debentures contain a clause requiring them to be written off or converted to common stock on the occurrence of a trigger event, or (b) statutory mechanisms (ie statutory bail-in) whereby a national resolution authority writes down or converts debentures under specified conditions to common stock. Bail-in debentures generally absorb losses at the point of non-viability. These features can introduce notable risks to investors who may lose all their invested principal

Changes in legislation and/or regulation

Changes in legislation and/or regulation could affect the performance, prices and mark-to-market valuation on the investment.

Nationalisation risk

The uncertainty as to the coupons and principal will be paid on schedule and/or that the risk on the ranking of the bond seniority would be compromised following nationalization.

Reinvestment risk

A decline in interest rate would affect investors as coupons received and any return of principal may be reinvested at a lower rate.

Changes in interest rate, volatility, credit spread, rating agencies actions, liquidity and market conditions may significantly affect the prices and mark-to-market valuation.

Illiquid markets/products

In the case of investments for which there is no recognised market, it may be difficult for investors to sell their investments or to obtain reliable information about their value or the extent of the risk to which they are exposed.

Default risk

Worst Case Scenario: The issuer of the bond may be unable to meet the required payments on its debt obligations. Investors may lose their entire invested principal in the event of default, insolvency and/or bankruptcy of the relevant issuer (as the case may be).

Risk disclosure on Dim Sum Bonds

Although sovereign bonds may be guaranteed by the China Central Government, investors should note that unless otherwise specified, other renminbi bonds will not be guaranteed by the China Central Government.

Renminbi bonds are settled in renminbi, changes in exchange rates may have an adverse effect on the value of that investment. You may not get back the same amount of Hong Kong Dollars upon maturity of the bond.

There may not be active secondary market available even if a renminbi bond is listed. Therefore, you need to face a certain degree of liquidity risk.

Renminbi is subject to foreign exchange control. Renminbi is not freely convertible in Hong Kong. Should the China Central Government tighten the control, the liquidity of renminbi or even renminbi bonds in Hong Kong will be affected and you may be exposed to higher liquidity risks. Investors should be prepared that you may need to hold a renminbi bond until maturity.

Risk disclosure on Emerging Markets

Investment in emerging markets may involve certain, additional risks which may not be typically associated with investing in more established economies and/or securities markets. Such risks include (a) the risk of nationalization or expropriation of assets; (b) economic and political uncertainty; (c) less liquidity in so far of securities markets; (d) fluctuations in currency exchange rate; (c) higher rates of inflation; (f) less oversight by a regulator of local securities market; (g) longer settlement periods in so far as securities transactions and (h) less stringent laws in so far the duties of company officers and protection of Investors.

Risk disclosure on FX Margin

The price fluctuation of FX could be substantial under certain market conditions and/or occurrence of certain events, news or developments and this could pose significant risk to the Customer. Leveraged FX trading carry a high degree of risk and the Customer may suffer losses exceeding their initial margin funds. Market conditions may make it impossible to square/close-out FX contracts/options. Customers could face substantial margin calls and therefore liquidity problems if the relevant price of the currency goes against them.

Currency risk – where product relates to other currencies

When an investment is denominated in a currency other than your local or reporting currency, changes in exchange rates may have a negative effect on your investment.

Chinese Yuan ("CNY") risks

There is a liquidity risk associated with CNY products, especially if such investments do not have an active secondary market and their prices have large bid/offer spreads.

CNY is currently not freely convertible and conversion of CNY through banks in Hong Kong and Singapore is subject to certain restrictions. CNY products are denominated and settled in CNY deliverable in Hong Kong and Singapore, which represents a market which is different from that of CNY deliverable in Mainland China.

There is a possibility of not receiving the full amount in CNY upon settlement, if the Bank is not able to obtain sufficient amount of CNY in a timely manner due to the exchange controls and restrictions applicable to the currency.

Illiquid markets/products

In the case of investments for which there is no recognised market, it may be difficult for investors to sell their investments or to obtain reliable information about their value or the extent of the risk to which they are exposed.

Alternative Investments

Investors in Hedge Funds and Private Equity should bear in mind that these products can be highly speculative and may not be suitable for all clients. Investors should ensure they understand the features of the products and fund strategies and the risks involved before deciding whether or not to invest in such products. Such investments are generally intended for experienced and financially sophisticated investors who are willing to bear the risks associated with such investments, which can include: loss of all or a substantial portion of the investment, increased risk of loss due to leveraging, short-selling, or other speculative investment practices; lack of liquidity in that there may be no secondary market for the fund and none expected to develop; volatility of returns; prohibitions and/or material restrictions on transferring interests in the fund; absence of information regarding valuations and pricing; delays in tax reporting; - key man and adviser risk; limited or no transparency to underlying investments; limited or no regulatory oversight and less regulation and higher fees than mutual funds.

Investments in Commodities

Investments in commodities may involve substantial risk, as the price of the commodity may fluctuate significantly.

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Note 1

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